

Chinese Contracts: What Foreigners Always Miss

A practical English guide to the clauses, patterns, and negotiation points that matter most when you rent, work, or do business in China.

What this guide helps you do

Spot contract terms that look normal on paper but become expensive in real life.

Understand where risk actually sits: payment, exit, delivery, acceptance, penalties, and control clauses.

Ask for cleaner wording without sounding overly legal or confrontational.

Who this is for

Foreign founders, operators, buyers, freelancers, employees, and tenants dealing with contracts in China.

People who can read English but do not want a law-school style textbook.

Teams that need a practical first-pass review before involving local counsel.

How to use it

Read Parts 1 and 2 once to learn the logic.

Jump to the scenario pages that match your situation.

Use the checklist at the end before you sign anything important.

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A quick note

This guide is educational and practical. It is not a substitute for jurisdiction-specific legal advice.

The examples in this PDF are adapted from a broader contract-risk framework and sample contract set built for the user's review system.

The writing is intentionally lighter than a legal memo so it can be read and used quickly.

What makes this guide different

- It does not treat every non-standard clause as a problem.
- It focuses on what affects real outcomes: money, control, evidence, timing, and exit.
- It distinguishes between a contract that is merely imperfect and one that is materially risky.

Part 1. How contracts actually work in China

Many foreigners read a Chinese contract as if the document were the entire deal. In practice, the document matters, but so do the transaction structure, the parties' control over performance, the payment flow, and whether a dispute can actually be proved.

That means a clause should not be judged only by whether it looks formal. It should be judged by whether it is legal, fair enough for the deal, workable in practice, and clear enough to reduce avoidable disputes.

The mindset behind this guide

First ask whether the clause fits the legal baseline.

Then ask whether it affects a core interest such as payment, delivery, exit, or dispute resolution.

Then ask whether one side gets too much control without matching responsibility.

Finally ask whether later clauses fix the problem or make it worse.

Five rules worth remembering

Rule 1 - Legality comes first

What goes wrong: A clause that conflicts with mandatory rules or essential procedural rules can create serious problems even if both parties signed it.

Why it matters: A signed clause is not automatically a safe clause.

What to ask for: Before negotiating style, check the baseline: validity, enforceability, and mandatory limits.

Rule 2 - Core interests matter more than perfect drafting

What goes wrong: A contract can survive minor drafting flaws but fail badly on payment, penalties, or delivery.

Why it matters: Most real disputes come from a handful of commercial pressure points, not from every clause equally.

What to ask for: Prioritize payment, delivery, acceptance, penalties, termination, and dispute path.

Part 1. How contracts actually work in China (continued)

Rule 3 - Contract freedom is not unlimited

What goes wrong: Some business people assume that any commercial deal can be written however they like.

Why it matters: That assumption is expensive when the contract pushes risk too far to one side or ignores mandatory rules.

What to ask for: Use commercial flexibility, but do not write as if the stronger party can control everything.

Rule 4 - Context and trade practice matter

What goes wrong: People often treat every clause that looks light or informal as defective.

Why it matters: In reality, a simple clause may work in a simple deal, while the same wording may be too thin for a long, technical, or high-value transaction.

What to ask for: Judge the clause against the real deal: who the parties are, how performance happens, what evidence exists, and how much money is at stake.

Rule 5 - Read the contract as a system

What goes wrong: One sentence may look harsh in isolation, but a later clause may fix it. The reverse is also true: several mild clauses can combine into a major imbalance.

Why it matters: Real risk often appears in the interaction between payment, delivery, acceptance, penalties, exit, and dispute control.

What to ask for: Before you sign, ask where the contract puts control over the milestone, the money, the evidence, and the exit.

Why foreigners get trapped

Pattern	What people think	What usually goes wrong
Language comfort	I understand the English translation, so I understand the deal.	The translation is clear, but the risk sits in how payment, performance, and evidence interact.
Template trust	It looks standard, so it must be fine.	A standard-looking contract can still give one side broad control over price, exit, or acceptance.
Focus on price only	The monthly rent or quoted price is the key issue.	The bigger issue is often what happens when the relationship changes, the goods are late, or one side wants out.
Assuming symmetry	If both parties signed, the burden must be balanced.	Many contracts are formally bilateral but practically controlled by only one side.

Core point

If the other side can decide when you performed, when you get paid, whether you passed acceptance, and whether you can leave, the contract is not balanced just because it has two signatures.

This is the practical lens used throughout the rest of the guide.

Part 2. The six risks that foreigners miss most often

This is the core of the guide. For each risk, focus on three questions: What goes wrong? Why does it matter? What wording or structure would make the deal safer?

How to read the next pages

Low risk does not mean perfect. It means the clause can usually be improved but does not obviously break the deal.

Medium risk means the clause can affect negotiations, cash flow, performance, or evidence in a meaningful way.

High risk means the clause is seriously imbalanced, commercially dangerous, or likely to create major enforcement problems.

The six risks below are ordered by practical frequency, not by legal severity.

Core point

Read each risk with one goal in mind: identify who controls the milestone, the money, and the proof.

Once you can answer those three points, the clause becomes much easier to negotiate.

Risk 1. Payment terms

Foreigners often look at the price first. Experienced negotiators look at the payment structure first.

The price tells you the headline. The payment terms tell you who carries the financing burden, who has leverage, and who will suffer if something goes wrong.

Watch for shifting payment bases

What goes wrong: The contract says you get a revenue share or a contract price, but the other side can deduct broad categories of cost before calculating your amount.

Why it matters: Your nominal percentage may look fair while your actual recovery becomes unpredictable.

What to ask for: Define the base clearly: gross revenue, net revenue, or a closed list of allowed deductions.

Watch for upstream payment dependency

What goes wrong: Your payment depends on the other side collecting from its own customer, owner, or project upstream.

Why it matters: You finish your part, but your cash flow is now controlled by a third party who never contracted with you.

What to ask for: Tie your payment to your own delivery and acceptance, not to an unrelated upstream recovery event.

Risk 1. Payment terms (continued)

Watch for long-tail retention without boundaries

What goes wrong: A tail payment is kept open until an undefined later event such as final project completion, market feedback, or a remote quality review.

Why it matters: A valid retention can become disguised delayed payment if the trigger is too vague or too remote.

What to ask for: Use a smaller, defined tail payment linked to a clear acceptance or warranty milestone.

Risky wording	Better wording
The platform may deduct platform fees, promotional expenses, refunds, taxes, technical service fees, and other operating costs before calculating your share.	The platform may deduct only the following items before calculating your share: payment processing fees, documented refunds, and taxes required by law. No other deductions apply unless agreed in writing.

Core point

This change is not cosmetic. It closes the catch-all phrase that lets the stronger party redefine the economics after signing.

In plain English: it stops one side from turning a stated price or percentage into a moving target later.

What to ask in negotiation

What exactly can be deducted?	Ask for a closed list. If a category is not listed, it should not be deducted later by implication.
When do I get paid?	Tie timing to delivery, settlement date, or acceptance - not to the other side's internal approval chain.
Can payment be delayed because of your own customer?	Push back on upstream dependency unless you are explicitly pricing that credit risk into the deal.

Risk 2. Termination and exit cost

A contract is not really tested when the relationship is smooth. It is tested when one side needs to leave.

This is especially true in rentals, employment, and long-running service or cooperation arrangements.

Watch for early-exit penalties that stack

What goes wrong: The tenant or service recipient pays a penalty, loses the deposit, and may still be asked to pay future rent or fees.

Why it matters: The contract turns one exit event into multiple layers of payment exposure.

What to ask for: State whether the penalty replaces future rent or is in addition to it. Do not leave that question open.

Watch for one-sided termination rights

What goes wrong: The other party may terminate for broad business reasons, strategic changes, or internal adjustments.

Why it matters: That gives one side a clean exit while you remain locked in.

What to ask for: Require objective triggers, notice periods, and settlement rules for work already done or costs already incurred.

Risk 2. Termination and exit cost (continued)

Watch for vague default standards

What goes wrong: A party may terminate if you are not suitable, not aligned, or fail to meet undefined internal requirements.

Why it matters: Open-ended triggers make the contract hard to predict and easy to weaponize.

What to ask for: Use objective breach standards and a cure period where possible.

Risky wording	Better wording
If the tenant terminates early, the tenant shall pay two months' rent as a penalty.	If the tenant terminates early, the tenant shall pay a one-time penalty equal to one month's rent. This penalty replaces any claim for future rent after the move-out date. The security deposit shall be applied toward unpaid charges only once they are documented.

Core point

The better version limits stacking. It turns a vague threat into a defined exit cost.

That does not make the clause generous. It makes the exit mathematically predictable.

Risk 3. Penalties and liquidated damages

A penalty clause is not automatically bad. In many contracts, it is normal and useful. The problem starts when the number no longer tracks a credible commercial loss, or when the penalty is piled on top of every other remedy without limit.

Watch for penalties plus everything else

What goes wrong: One clause requires a penalty, full damages, all fees, all downstream losses, and any other loss the stronger party claims.

Why it matters: That combination creates open-ended exposure and turns a penalty into a leverage weapon.

What to ask for: Keep the penalty, but define whether it sits alongside direct losses only and whether indirect or speculative losses are excluded.

Watch for asymmetry

What goes wrong: You owe daily delay damages, but the other side can delay payment with no real consequence.

Why it matters: The contract punishes your breach but normalizes theirs.

What to ask for: Make sure both delay obligations have consequences, even if the rates differ.

Risk 3. Penalties and liquidated damages (continued)

Watch for numbers detached from the deal stage

What goes wrong: A pre-contract NDA uses a huge fixed penalty before any serious exchange has happened.

Why it matters: A large fixed number may be designed to intimidate rather than reflect likely loss.

What to ask for: Scale the amount to the stage, the information involved, and the realistic damage profile.

Core point

A penalty becomes dangerous when it stops being a pricing tool and starts becoming an intimidation tool.

That usually happens when the number is detached from the likely loss and stacked on top of every other remedy.

Risk 4. Delivery, acceptance, and risk transfer

For trade and supply contracts, this is often the most important section in the entire agreement.

The key questions are simple: When is delivery complete? Who bears loss before that moment? Who bears it after? What can the buyer still inspect or reject?

Watch for delivery being defined too early

What goes wrong: Delivery is deemed complete once the goods are shipped, handed to a carrier, uploaded to a system, or dropped at a location.

Why it matters: You can end up taking risk before you have real control, inspection rights, or evidence.

What to ask for: Tie delivery to arrival, access, and a basic inspection step - especially when physical goods are involved.

Watch for risk transfer without control

What goes wrong: Risk shifts to the buyer even though the seller chooses the carrier, controls packaging, or controls the shipping process.

Why it matters: Risk should usually follow control, not just movement.

What to ask for: State who chooses the carrier, who insures the shipment, and when risk shifts.

Risk 4. Delivery, acceptance, and risk transfer (continued)

Watch for acceptance standards that are too broad

What goes wrong: Acceptance depends not just on agreed specifications, but on broad third-party expectations, end-user feedback, or future market response.

Why it matters: The seller can perform correctly and still fail acceptance because the standard is not objective.

What to ask for: Use confirmed drawings, specifications, samples, and inspection steps as the main acceptance standard.

Risky wording	Better wording
Delivery is deemed completed once the goods are handed to the carrier, and all risk shall transfer to the Buyer at that time.	Delivery is deemed completed when the goods arrive at the agreed destination and the Buyer completes initial inspection for quantity and visible damage. If the Seller arranges transportation, the Seller remains responsible for damage caused during transportation before arrival.

Core point

This wording aligns risk with control and preserves a basic inspection window.

It also prevents shipment from swallowing both delivery and acceptance in one move.

What to ask in negotiation

Who chooses the carrier?	If the seller chooses the carrier, it is harder to justify shifting all transport risk to the buyer immediately after shipment.
When is delivery legally complete?	Do not accept vague wording. The contract should say whether delivery happens at shipment, arrival, inspection, or written acceptance.
What happens if quality problems are found?	You need an inspection window, a rejection right, and a clear rule on whether the final payment can be withheld during the review period.

Core point

This change is not cosmetic. It closes the catch-all phrase that lets the stronger party redefine the economics after signing.

In plain English: the edit stops one side from using vague delivery wording to push more risk and cost onto you later.

Risk 5. Control clauses

Some contracts do not look aggressive because no single sentence is shocking. The danger sits in how several small control rights add up.

Watch for unilateral business judgment clauses

What goes wrong: One party may change pricing, scope, timetable, publication strategy, or project direction based on its own business judgment.

Why it matters: A flexible clause can become a mechanism for transferring all uncertainty to the other side.

What to ask for: Use a material-change threshold and a written variation process.

Watch for broad set-off and withholding rights

What goes wrong: The stronger party can deduct alleged losses, penalties, or costs directly from amounts it owes you.

Why it matters: Cash gets trapped before the dispute is even proven.

What to ask for: Require documentary basis, notice, and a clear connection between the deduction and the disputed invoice or goods.

Risk 5. Control clauses (continued)

Watch for deemed acceptance after very short silence periods

What goes wrong: If you do not object within a few days, you automatically accept the settlement or deliverable.

Why it matters: This is especially risky when internal review takes time or technical verification is needed.

What to ask for: Extend the review period and limit automatic acceptance to situations where the materials were actually provided in a usable form.

Core point

Small control clauses become serious when they combine: one side sets the standard, controls the timeline, and treats your silence as agreement.

That is why these clauses must be read together, not one by one.

Risk 6. Missing key terms

Not every contract needs to be long. But some contracts fail because they leave out the very terms that decide how money, performance, and proof work.

Missing payment logic

What goes wrong: The amount is stated, but the trigger, schedule, or payment account is not clear enough.

Why it matters: A number without a payment mechanism is not real clarity.

What to ask for: Specify when, how, to whom, and against what milestone payment is made.

Missing acceptance logic

What goes wrong: The seller must deliver something, but there is no acceptance path, no defect notice period, and no cure process.

Why it matters: Disputes then get pushed into broad arguments instead of structured proof.

What to ask for: Add a basic acceptance timeline, issue notice method, and correction period.

Risk 6. Missing key terms (continued)

Missing exit or settlement logic

What goes wrong: The relationship can end, but the contract says little about deposit return, unfinished work, inventory, or final settlement.

Why it matters: That makes the moment of exit far more expensive than it needed to be.

What to ask for: State what happens to prepaid amounts, completed work, materials, and ongoing obligations.

Core point

A contract is short only if the core problems are still solved. If they are not solved, the contract is not simple - it is incomplete.

This is why a short but well-structured contract can be safer than a longer but badly controlled one.

Part 3. Real scenarios

The next pages convert the general logic into situations that matter in real life. These pages are intentionally direct so they can be used as quick reference.

How to use these scenario pages

Start with the issue you care about most: exit cost, payment control, delivery, or post-termination restrictions.

Read the common pattern first, then use the questions at the bottom as your negotiation checklist.

These pages are written to help you speak clearly with landlords, employers, suppliers, or counterparties without sounding overly legal.

Scenario 1. Renting in China

When foreigners look at a lease, they often focus on rent, deposit, and location. Those matter, but the more expensive part of the deal is often the exit.

A lease can look manageable on the surface but become expensive once penalties, deposits, and future rent obligations begin to overlap.

What matters most in a lease

Monthly rent and payment cycle

Deposit amount and return conditions

Early termination rules

Penalty calculation and whether it stacks with unpaid rent or deposit deductions

Who can terminate more easily: the landlord or the tenant

A common pattern in risky lease language

One sentence rarely creates the whole problem by itself. The real issue is how several money terms work together once the tenant needs to leave early.

Clause	What the tenant assumes	Why it may still hurt
Two months' rent as penalty	That is my full exit cost.	The landlord may still argue for future rent or extra charges if the clause does not say the penalty replaces them.
Deposit is non-refundable	That is just standard pressure.	The deposit may become a second layer of financial exposure rather than a normal security arrangement.
Rent continues until a new tenant is found	That sounds temporary.	It can become an open-ended obligation even after the tenant has moved out.

Core point

The real risk is not one penalty number. It is the way penalty, deposit, and remaining rent can combine into a much larger exit cost.

This is the point many tenants miss because the lease looks simple at first glance.

Scenario 1. Renting in China (continued)

What to ask in negotiation

If I leave early, does the penalty replace future rent? If the contract does not answer this clearly, you should assume the other side may try to stack charges later.

Under what conditions can the deposit be withheld? Ask for documented unpaid charges or actual damage, not broad landlord discretion.

Can the landlord terminate more easily than I can? A lease becomes unbalanced when one side has broad exit rights and the other side has expensive ones.

Risky wording	Better wording
If the tenant terminates early, the tenant shall pay two months' rent as penalty and the deposit shall not be refunded.	If the tenant terminates early, the tenant shall pay a one-time penalty equal to one month's rent. This penalty replaces any claim for future rent after the move-out date. The deposit may be applied only to documented unpaid charges or actual damage.

Core point

The better version does not remove the landlord's protection. It makes the exit cost finite and explainable.

Scenario 2. Working in China

For foreigners working in China, the biggest contract risks are often not the headline salary. They are the hidden control rights around workload, performance, mobility, and exit.

What matters most in an employment contract

How overtime is handled

Whether performance pay is genuinely measurable or fully discretionary

Whether post-employment restrictions are defined and compensated

How easily the employer can change your role, location, or compensation structure

A common medium-risk pattern

One adapted sample contract treated overtime as covered by monthly salary, gave the employer broad discretion over performance pay, and imposed a long non-compete without clearly fixing compensation or geographic scope.

Scenario 2. Working in China (continued)

Overtime buried inside salary

What goes wrong: The contract says the employee understands industry intensity and agrees that the salary covers delayed work or extended hours.

Why it matters: That can reduce clarity around overtime claims and make workload disputes harder to manage.

What to ask for: Ask for a lawful overtime arrangement, an explicit approval process, or a clearer working-time system.

Performance pay controlled by one side

What goes wrong: A large part of salary depends on rules the employer can revise later.

Why it matters: Income becomes uncertain even if the headline monthly amount looked acceptable.

What to ask for: Ask for written metrics, adjustment cycles, and a minimum guaranteed floor.

Scenario 2. Working in China (continued)

Non-compete without proper boundaries

What goes wrong: The contract restricts future work broadly but leaves compensation, territory, and covered competitors to later notice.

Why it matters: That can create pressure at the exact moment you want mobility.

What to ask for: Ask for a narrower scope, defined compensation, and a realistic duration.

Core point

In employment contracts, control matters as much as salary. A reasonable headline number can still hide unstable economics underneath.

That is why workload, performance rules, and post-exit restrictions all need to be read together.

Scenario 3. Buying from China or doing trade with China

For importers, traders, and cross-border buyers, the most important issue is often not the unit price. It is the structure connecting delivery, acceptance, payment, and risk transfer.

What matters most in a trade deal

When delivery is legally complete

Who bears risk before delivery and after delivery

What counts as inspection and acceptance

How much is paid before production, before shipment, and after acceptance

How long the buyer has to inspect and raise objections

The practical sequence you want

- A reasonable advance payment to start production or reserve capacity.
- A second payment tied to a real shipment or pre-shipment milestone, not pure discretion.
- A tail payment that gives the buyer incentive protection after arrival and basic inspection.
- A short but usable inspection period after arrival.

Scenario 3. Buying from China or doing trade with China (continued)

A teaching-version payment example

For a clean teaching model, a more balanced structure is often easier to understand than a highly compressed structure. Example: 30 percent advance, 40 percent after pre-shipment inspection or shipment documents, and 30 percent after delivery plus initial inspection.

Risky wording	Better wording
The remaining 70 percent shall be paid only after the Buyer receives payment from its own customer and final project completion is confirmed.	Thirty percent shall be paid as advance payment within 5 business days after signing. Forty percent shall be paid after the Seller provides the inspection report and shipment documents. The remaining thirty percent shall be paid within 7 days after delivery and initial inspection at destination.

Core point

The better version ties the seller's money to the seller's own performance, not to unrelated upstream events.

That keeps the risk within the four corners of the actual buyer-seller relationship.

What to ask in negotiation

When exactly is delivery complete? Push for a definition linked to arrival and inspection, not just shipment.

How many days do I get to inspect? You need enough time to check quantity, visible damage, and at least basic quality issues.

Can a tail payment be held until basic acceptance? A modest tail payment often creates better discipline for both sides without making the structure feel hostile.

Part 4. Clause lab

These examples are adapted from a broader sample contract set. The goal is not to memorize wording. The goal is to learn how risk appears in real clauses.

How to read the examples

The point is not that one sentence alone decides everything. The point is to see how wording changes control, money, timing, and proof.

Use the risky wording as a warning sign and the better wording as a negotiation direction, not as a rigid template for every deal.

Example A. A good contract structure

This adapted sale contract works well because payment, delivery, acceptance, and risk allocation line up with each other.

Why it works

The buyer pays in stages tied to real milestones.

Arrival is not the same as final acceptance.

The seller keeps risk before delivery.

There is a functional acceptance process, not just a shipment event.

Risky wording	Better wording
The goods shall be deemed fully accepted upon arrival.	Quantity and visible condition shall be checked upon arrival. Final acceptance occurs after installation, testing, and stable operation for 72 hours without major failure.

Core point

This prevents arrival from swallowing the later acceptance stage.

Example A. A good contract structure (continued)

Risky wording	Better wording
The seller shall deliver the equipment within 20 days. The seller bears the risk of loss before delivery.	The seller shall deliver the equipment within 20 days after receipt of the advance payment and shall bear the risk of loss or damage before delivery and handover for acceptance.

Core point

A good clause separates logistics from acceptance and gives the risk rule a clear end point.

Core point

A balanced contract is not one where every percentage is identical. It is one where control, risk, and payment broadly match.

That is why the best contracts feel coherent rather than merely formal.

Example B. A dangerous NDA

This adapted NDA looks impressive but is commercially aggressive. The risk is cumulative: broad definition, broad control, broad liability, long duration, and one-sided forum.

Overbroad confidentiality definition

What goes wrong: Everything becomes confidential whether or not it was marked, already known, or publicly available.

Why it matters: The receiving party loses clarity about what may be used or discussed internally.

What to ask for: Limit confidential information to non-public information with real protective value and add clear exceptions.

Permanent duty with no real boundary

What goes wrong: The duty survives forever for all information, even after information becomes public.

Why it matters: That goes beyond ordinary commercial protection and creates indefinite uncertainty.

What to ask for: Set different periods for different information categories and carve out public or lawfully obtained information.

Example B. A dangerous NDA (continued)

Huge fixed penalty plus unlimited losses

What goes wrong: A very high fixed amount is added to all direct, indirect, reputational, and enforcement costs.

Why it matters: Exposure becomes impossible to price and can function as negotiation pressure rather than sensible risk allocation.

What to ask for: Scale the fixed amount, narrow the loss categories, and keep necessary disclosures allowed.

Risky wording	Better wording
All information disclosed in any form shall be confidential, whether or not marked confidential.	Confidential Information means non-public information disclosed for the project that has commercial value and is reasonably understood to be confidential. It does not include information already public, already lawfully known to the receiving party, independently developed, or lawfully obtained from a third party.

Core point

The better version does not weaken protection. It makes protection workable.

Example C. A platform or cooperation contract

This type of contract often looks commercially friendly because both sides are partners. In reality, one side may control pricing, data, settlement, and future use of the content or product.

Revenue share built on a vague deduction base

What goes wrong: One side can deduct broad operating costs before calculating the creator's or partner's share.

Why it matters: The weaker side sees a percentage but not a reliable payout.

What to ask for: Use a closed deduction list and settlement backup documents.

Data and settlement controlled by one side

What goes wrong: The platform issues the statement, defines costs, and treats silence after a very short period as acceptance.

Why it matters: A short objection window can close off practical review.

What to ask for: Extend the review period and allow access to supporting data.

Example C. A platform or cooperation contract (continued)

Post-termination use remains broad

What goes wrong: The platform can keep using, editing, displaying, or monetizing the content after the relationship ends.

Why it matters: That changes the economic value of the creator's own asset and limits future freedom.

What to ask for: Limit post-termination use to a short archive or transition period unless new compensation is agreed.

Core point

A cooperation contract stops being cooperative when one side controls the data, the pricing, the settlement, and the future use of the asset.

That is the pattern to watch for in platform and creator deals.

Part 5. Sample English trade contract

This sample is not meant to replace local legal review. It is a teaching contract written in cleaner commercial English so you can see how a safer structure reads.

How to use the sample contract

Read it as a structure model, not as a universal template.

Notice how payment, delivery, risk transfer, inspection, and remedies are connected rather than treated as isolated clauses.

This version is intentionally clearer than many real drafts so you can see what a workable sequence looks like in English.

Sample International Sale of Goods Agreement

Parties

Seller: Shenzhen Tech Equipment Co., Ltd.

Buyer: Global Trading Solutions Ltd.

1. Goods

The Seller agrees to manufacture and sell, and the Buyer agrees to purchase, the industrial components described in Appendix A, including the agreed specifications, quantity, and packaging requirements.

2. Contract Price

The total contract price is USD 120,000. Unless otherwise agreed, the price includes standard export packaging. International freight and cargo insurance shall be allocated as provided in this Agreement.

3. Payment Terms

3.1 The Buyer shall pay 30 percent of the contract price within 5 business days after signing as an advance payment.

3.2 The Buyer shall pay 40 percent of the contract price after the Seller provides the pre-shipment inspection report and shipment documents listed in Appendix B.

3.3 The remaining 30 percent shall be paid within 7 days after delivery at the agreed destination and the Buyer's initial inspection for quantity and visible damage.

4. Delivery Time and Place

4.1 The Seller shall dispatch the goods within 30 days after receipt of the advance payment.

4.2 Delivery destination: Buyer's designated warehouse, address to be confirmed in writing not later than 10 days before shipment.

Sample International Sale of Goods Agreement (continued)

5. Delivery and Risk Transfer

5.1 Delivery is deemed completed when the goods arrive at the agreed destination and the Buyer has a reasonable opportunity to conduct initial inspection for quantity and visible damage.

5.2 Risk of loss or damage remains with the Seller until delivery is completed under Clause 5.1.

5.3 If transportation is arranged by the Seller, the Seller shall remain responsible for damage caused during transportation before delivery is completed.

6. Inspection and Acceptance

6.1 Within 7 days after delivery, the Buyer may inspect quantity, visible damage, and apparent defects.

6.2 If the Buyer discovers defects during that period, the Buyer shall notify the Seller in writing with reasonable evidence.

6.3 Acceptance shall not be deemed waived merely because the Buyer received the goods. Use, resale, or further processing shall not by itself prevent a defect claim if the defect could not reasonably be discovered at initial inspection.

7. Quality Warranty

The Seller warrants that the goods comply with the agreed specifications in Appendix A and are free from material defects for 12 months after acceptance, except for defects caused by improper storage, misuse, or unauthorized modification by the Buyer.

Sample International Sale of Goods Agreement (continued)

8. Remedies

If the goods do not meet the agreed specifications, the Seller shall, within a reasonable time after notice, repair, replace, or provide an agreed price adjustment. The parties shall try to preserve commercial continuity before escalating the dispute.

9. Delay and Payment Default

9.1 If the Seller delays shipment without justified cause, the Seller shall pay delay damages at 0.05 percent of the delayed portion of the price per day, capped at a commercially reasonable amount agreed by the parties.

9.2 If the Buyer delays payment without justified cause, the Buyer shall pay delay damages at 0.03 percent of the overdue amount per day.

10. Termination

Either party may terminate this Agreement if the other party commits a material breach and fails to cure that breach within a reasonable written cure period.

11. Dispute Resolution

Any dispute arising from or in connection with this Agreement shall first be resolved through good-faith consultation. If consultation fails, the dispute shall be submitted to arbitration before the China International Economic and Trade Arbitration Commission (CIETAC).

12. Final Notes

This sample is designed to teach a balanced structure. Real deals may need Incoterms allocation, customs language, export control wording, governing law detail, and product-specific quality standards.

Core point

Why this version is more realistic than the earlier draft: the payment structure is not too top-heavy in the middle, the tail payment still gives the buyer leverage after arrival, and delivery, risk transfer, and inspection are linked instead of collapsing into a single event.

Part 6. Quick checklist before you sign

Use this page as your fast review tool. If you answer I am not sure to too many of these questions, the contract is not ready for signature.

- Do I know exactly when and how I get paid?
- Is my payment tied to my own performance rather than someone else's payment?
- If I need to leave, do I know the total exit cost?
- Can the other side terminate more easily than I can?
- Is there a real acceptance process, not just shipment or silence?
- Do risk transfer and delivery happen at the same sensible point?
- Are penalties limited enough to price the deal rationally?
- Can the other side deduct money, suspend payment, or set off claims too easily?
- If this is an NDA, are there clear exceptions for public, prior-known, or legally required disclosure?
- If this is employment or cooperation, are future restrictions actually defined?

Part 6. Quick checklist before you sign (continued)

Five negotiation questions that sound practical, not aggressive

Can we tie payment to this milestone instead of to internal process or upstream recovery?

Can we define acceptance using objective specifications rather than broad business judgment?

Can we clarify whether this penalty replaces future charges or sits on top of them?

Can we add a simple written variation process for scope changes?

Can we narrow this clause so it protects the project without creating open-ended exposure?

Situation	Main risk	First question to ask
Lease	Exit cost	Does the penalty replace future rent or add to it?
Employment	Control over pay and exit	Who decides overtime, performance, mobility, and non-compete scope?
Trade	Delivery and risk transfer	When exactly does risk move from seller to buyer?
NDA	Overbreadth	What is excluded from confidentiality and how long does the duty last?
Platform or cooperation	One-sided data and settlement control	Can the other side define deductions and settlement alone?

Core point

A contract becomes dangerous when the other side controls the milestone, the money, the evidence, and the exit at the same time.

If you remember only one thing, remember this: look for where control sits, not just where words sit.